

Our family has not yet drafted our own constitution. We are still a young family, and things are not yet that complicated. We don't need a full-blown constitution yet. But we *will* need one. Around the time of the transition between the second and third generations is when families tend to need a constitution.

SETTING UP THE FAMILY BANK

We don't want family money to fund lifestyles. But at the same time, we want to be able to financially support family members' productive pursuits. That's why we set up a family bank.

The "family bank" is where your family can go for funding for entrepreneurial ventures, education, buying a home, or health care needs. These can be outright disbursements, or they can be loans. Loans typically don't carry interest. But borrowers are required to pay them back in full.

The family bank is not a real bank. It has no teller, no ATM cards, and no banking license. It is just a convenient way of describing another Family Council function: running a lending program for the benefit of family members.

These loans can be a huge advantage for your family. They give them access to cheap funding. And they reduce the amount of costly outside debt family members need to take on. Banks make money by charging interest on loans and collecting various fees. They have expensive offices to maintain and big bonuses to pay out. A family bank is another way to lower the cost of operating a family and ultimately protect the family fortune.

It helps you eliminate banking fees and also insurance charges. For instance, if you don't have a mortgage or a car loan, you save a lot on the ancillary costs of those loans, not to mention the interest payments. Likewise, you can use the family bank in the place of an insurance fund, lending money to family members to cover setbacks that would otherwise be covered by insurance. These savings allow family members to live better on less money.